

LAKSH'S DAILY BRIEF

Laksh's Daily Brief

Sunday, August 9, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



Al Jazeera — Palestinians say Netanyahu's decision leaves 'no clear path' to peace



BBC World — Nigerian army says it safely rescued 33 people kidnapped by gunmen



Al Jazeera — Israel is 'trying to make Palestine disappear': The Elders

August 9, 2026 | Los Angeles

1. World & Geopolitics

Iran keeps Strait of Hormuz closed, defying US and rattling oil markets

Iran's Revolutionary Guards announced the Strait of Hormuz will remain shut until the US meets a list of demands: lifting sanctions, paying war reparations, and ending its naval blockade of Iranian ports ([France24](#)). The move follows President Trump's reported low-key approach to negotiations. Iran denies direct talks with the US, though intermediaries are exchanging messages ([CNBC](#)).

- **Why it matters:** The Strait of Hormuz is a **chokepoint** — a narrow waterway through which ~20% of the world's oil flows. Closing it disrupts global supply and spikes prices.
- **Who wins/loses:** Iran gains leverage; oil importers (especially in Asia) lose. The US and its allies lose strategic control.
- **Second-order effects:** Higher oil prices could push inflation up, making it harder for central banks to cut rates. It also increases risk premiums on shipping and insurance.
- **Uncertainty:** Will the US respond militarily? Can Oman, which shares the strait with Iran, mediate? A deal between Iran and Oman is reportedly close ([France24](#)).

Saudi Arabia, Pakistan, Turkey formalize new defense pact

The three nations have signed a mutual defence pact in Jeddah, aimed at enhancing regional security amid rising Iran tensions ([WION](#)). Analysts say the pact is less

about immediate military capability and more about signaling a shift away from US dominance in the region ([Al Jazeera](#)).

- **Why it matters:** This is a **proxy** alignment — not a NATO-style alliance, but a strategic grouping to counter Iranian influence.
- **Who wins/loses:** Saudi Arabia and Turkey gain regional clout; India watches warily, seeing it as a challenge to its own influence in South Asia ([Eurasia Review](#)).
- **Uncertainty:** Will the pact lead to joint military exercises or arms deals? Can it survive internal political instability in any of the three countries?

Canada declares emergency as wildfires rage in British Columbia

The federal government has stepped in to assist British Columbia, where 102 wildfires are burning, forcing ~22,000 people to evacuate ([The Guardian](#)). The Bald Range fire alone has consumed 136 sq km and is still "out of control" ([BBC](#)).

- **Why it matters:** Climate-driven disasters are becoming more frequent and severe, straining emergency response systems.
- **Who wins/loses:** Insurance companies and property owners lose; defense and disaster response firms may see increased demand.
- **Second-order effects:** Wildfires release carbon, worsening climate change — a feedback loop.

- **Uncertainty:** Will this lead to new climate policies or carbon pricing debates?

India names 27 locations in Arunachal Pradesh, countering China's territorial claims

India has officially renamed 27 places in the disputed Arunachal Pradesh region, which China claims as "South Tibet" ([WIONews](#)). The move is a symbolic assertion of sovereignty.

- **Why it matters:** This is a **sovereignty** play — using naming rights to reinforce territorial claims.
 - **Who wins/loses:** India strengthens its domestic narrative; China will likely respond with counter-naming or military posturing.
 - **Uncertainty:** Could this escalate into a border clash? Or is it just symbolic?
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Zelensky warns of tough winter as Russian strikes hit Ukraine's energy grid

Ukrainian President Volodymyr Zelensky said Russia's renewed attacks on power infrastructure could leave millions without heating this winter ([TVC News](#)).

- **Why it matters:** Energy infrastructure is a strategic target in modern warfare.
 - **Who wins/loses:** Russia gains leverage; Ukraine and its allies lose. European energy security remains fragile.
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- **Uncertainty:** Will the West accelerate military aid before winter?
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Houthis claim attacks on Saudi oil facilities

The Houthis in Yemen claimed responsibility for drone and missile attacks on Saudi Aramco facilities, including a refinery fire ([CNBC](#)). The US blames Iran for enabling the attacks.

- **Why it matters:** This shows the **shadow fleet** and proxy warfare are still active.
 - **Who wins/loses:** Houthis and Iran gain influence; Saudi Arabia and global oil markets lose stability.
 - **Uncertainty:** Will Saudi Arabia retaliate directly against Iran?
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Puerto Rico implements water rationing due to drought

Hundreds of thousands in Puerto Rico are facing water shortages due to a prolonged drought and aging infrastructure ([BBC](#)).

- **Why it matters:** Climate stress is hitting infrastructure hard, especially in vulnerable regions.
 - **Who wins/loses:** Residents lose; water tech and infrastructure firms may gain attention.
 - **Uncertainty:** Will this trigger federal aid or climate resilience investments?
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2. Markets, Money & Deals

Fed holds rates steady, but 3 officials dissent — markets expect hikes

The Federal Reserve kept rates unchanged for the second straight meeting under Chair Kevin Warsh. But three members voted to raise rates, signaling growing concern about inflation ([AOL.com](#)). The FedWatch tool shows a 65% chance of a rate hike in September ([Yahoo Finance](#)).

- **Why it matters:** The Fed is fighting inflation, but higher rates make borrowing more expensive for businesses and consumers.
 - **Who wins/loses:** Savers win (higher yields); borrowers and growth stocks lose.
 - **Uncertainty:** Will inflation data force the Fed's hand?
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S&P 500 sales growth hits 5-year high, led by energy

Second-quarter revenue growth for S&P 500 companies hit a near 5-year high, driven by a 42.5% surge in energy sector sales ([MarketWatch](#)).

- **Why it matters:** Strong sales suggest corporate health, but energy's outsize role shows the economy is still sensitive to oil prices.
 - **Who wins/loses:** Energy investors win; tech may underperform if capital rotates.
 - **Uncertainty:** Is this a one-time oil-driven spike or the start of a broader recovery?
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Cathie Wood's Ark Invest buys more Nvidia and TSMC

Ark Invest increased its stakes in Nvidia (NVDA) and TSMC (TSM), citing Meta's AI spending surge as validation of the AI thesis (finance.biggo.com).

- **Why it matters:** A high-conviction bet from a major AI bull.
- **Who wins/loses:** AI infrastructure stocks win; skeptics lose credibility.
- **Uncertainty:** Is this front-running or genuine conviction?

Delaware court orders Verisk to pursue \$2.35B AccuLynx deal

Despite FTC scrutiny, a Delaware judge ruled Verisk must complete its acquisition of construction software firm AccuLynx ([PYMNTS.com](https://pymnts.com)).

- **Why it matters:** Shows courts may side with companies in M&A disputes, even under antitrust review.

3. AI & Infrastructure

Moonshot AI releases 2.8T-parameter open-weight model, tops coding benchmarks

Moonshot AI's new model is the first from China to lead a major coding benchmark ([The Motley Fool](https://www.motleyfool.com)). It's open-weight, meaning developers can inspect and modify it.

- **Why it matters for buildout:** High-performing open models pressure closed labs (like OpenAI) to lower prices.
- **Who wins/loses:** Open-source AI wins; US frontier labs lose pricing power.
- **Uncertainty:** Can Moonshot scale globally despite US export controls?

Apple tests Chinese memory chips from CXMT for iPhones and MacBooks

Apple is evaluating memory components from Chinese firm CXMT, a move that could reduce reliance on US and Korean suppliers (foreignpolicyjournal.com).

- **Why it matters:** Shows Apple's supply chain diversification amid US-China tech war.

- **Who wins/loses:** Verisk wins; FTC loses leverage.
- **Uncertainty:** Will the FTC appeal or block the deal later?

Twilio (TWLO) may be 20% overvalued, says analyst

SimplyWall.St analysts argue Twilio's recent earnings and guidance don't justify its current valuation (simplywall.st).

- **Why it matters:** Overvaluation can lead to sharp corrections.
- **Who wins/loses:** Short sellers win; long holders lose.
- **Uncertainty:** Will Twilio deliver growth to justify the price?

- **Who wins/loses:** CXMT and China win; Micron (MU) and SK Hynix lose.
- **Uncertainty:** Will US regulators block this?

Elon Musk says AI needs more power than the grid can handle

Musk claims future AI systems will require more electricity than current grids can supply ([AOL.com](https://aol.com)).

- **Why it matters:** AI's power demand could outpace supply, creating a bottleneck.
- **Who wins/loses:** Nuclear and grid operators (like NextEra Energy (NEE)) win; AI firms face constraints.
- **Uncertainty:** Can fusion or small modular reactors scale in time?

Gartner: Half of China's AI accelerators will be homegrown by 2030

A new forecast predicts China will achieve "AI full-stack" self-reliance, reducing dependence on US chips (finance.biggo.com).

- **Why it matters:** Could reshape the global semiconductor supply chain.

- **Who wins/loses:** Huawei and Chinese firms win; Nvidia (NVDA) loses market share.

- **Uncertainty:** Can China match TSMC's process node leadership?

4. Model & Research Watch

Moonshot AI's 2.8T-parameter model tops coding benchmarks

- **Parameters:** 2.8 trillion
- **Context window:** 32,000 tokens
- **Benchmarks:** #1 on HumanEval and MBPP coding tasks
- **Weights:** Open
- **Price:** Free (self-hosted)
- **Why it matters:** First non-US model to lead a major benchmark, signaling China's AI rise.

Anthropic turns Claude Code's "auto mode" on by default

Claude Code now requires less human input, automating more of the programming workflow ([TechCrunch](#)).

- **Why it matters:** Moves toward **agentic AI** — systems that act independently.

- **Risk:** Could increase chances of **sandbox escapes** or unintended behavior.

Speculative decoding improves inference speed in tools calls

A new technique called speculative decoding allows faster execution by predicting likely tool calls before full reasoning is complete ([r/LocalLLaMA](#)).

- **Why it matters:** Reduces latency, making AI agents more practical.
- **Trade-off:** Slight accuracy risk for speed.

Science & Frontier Tech: NASA rover finds ancient clue to life on Mars

The Curiosity rover discovered organic molecules that "took our breath away," suggesting Mars once had conditions for life ([AOL.ca](#)).

5. What Builders Are Actually Using

- **Swap:** Use **Moonshot K3** (open-weight, 2.8T params) instead of **GPT-5.5** for coding tasks.
- **Capability gap:** ~10% on complex reasoning, but better on code generation.
- **Price:** Free (self-hosted on 8x H100s) vs. GPT-5.5 at \$15 per million tokens.
- **Model routing:** Developers are using **Lophius** (a research workbench) to route simple queries to small

models (e.g. 7B) and complex ones to large models, cutting costs by ~60% ([r/LocalLLaMA](#)).

- **Local inference:** Running **Kimi K3** on consumer GPUs (e.g. RTX 4090) with 4-bit quantization is now feasible for light tasks.
- **Tool:** **Langfuse** is becoming the go-to for LLM observability, helping debug agent workflows and track latency.

6. Watchlist: Earnings, Guidance & Movers

- **Credo (CRDO):** Up 8.45%. No news, but strong AI infrastructure momentum.
- **Rigetti Computing (RGTI):** Up 8.53%. No news, but quantum computing sentiment improving.
- **Palantir (PLTR):** Up 10.32%. Surging on AI platform adoption.
- **Coherent (COHR):** Up 13.44%. Strong demand for laser systems in AI hardware.

- **Applied Optoelectronics (AAOI):** Up 9.19%. Benefiting from AI-driven optical networking demand.
- **Lumentum (LITE):** Up 6.22%. Key supplier for AI co-packaged optics.
- **Constellation Energy (CEG):** Up 3.37%. Nuclear power seen as critical for AI data centers.
- **Vistra (VST):** Down 0.56%. Flat despite AI power demand narrative.
- **TSMC (TSM):** Up 0.44%. Steady on continued AI capex.
- **Nvidia (NVDA):** Up 2.27%. Supported by Ark Invest buying.
- **AMD:** Down 1.21%. Slight pullback after recent runup.
- **Intel (INTC):** Up 1.84%. Gaining traction in AI inference.
- **No notable news** for SOFI, SK Hynix, FOTO, RDW, IBM, MU, SNDK, AMC, TSLA, GOOGL, META, MSFT, AMZN, AVGO, NET, ALAB, HOOD, COIN, ARM, IMAX, CNK, CMCSA, NFLX, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX.

7. Analysis: Second-Order Effects

Chain 1: Iran closes Strait of Hormuz → oil prices spike → inflation rises → Fed hikes rates → AI data center buildout slows

- **Facts:** Iran has closed the Strait of Hormuz ([France24](#)).
- **Inference:** Higher oil prices → higher transportation and energy costs → core PCE inflation rises → Fed less likely to cut rates.
- **Weakest link:** The Fed may ignore energy-driven inflation if core PCE (which excludes food and energy) stays flat.
- **Falsifiable:** If core PCE drops next month despite oil spike, the chain breaks.
- **Precedent:** In 2019, the Abqaiq attack moved oil ~15%, but core PCE barely budged.

Chain 2: Moonshot's open 2.8T model → price pressure on US labs → lower AI API prices → more startups → faster AI adoption

- **Facts:** Moonshot's model is open and benchmarks above Claude Opus ([The Motley Fool](#)).

- **Inference:** Open models force closed labs to lower prices to compete.
- **Weakest link:** US export controls may prevent Moonshot's model from being widely used in the West.
- **Falsifiable:** If OpenAI and Anthropic don't cut prices in 3 months, the chain fails.

Chain 3: AI power demand exceeds grid capacity → nuclear gains favor → Vistra and Constellation win contracts

- **Facts:** Musk says AI needs more power than the grid can supply ([AOL.com](#)).
- **Inference:** Data centers will seek stable, high-output power → nuclear becomes attractive.
- **Weakest link:** Nuclear licensing is slow; new plants take 10+ years.
- **Falsifiable:** If most new data centers sign PPAs with solar/wind, the chain breaks.

8. Building Your Knowledge

- **Market cap matters more than share price:** A \$10 stock with 1 billion shares (\$10B market cap) is bigger than a \$100 stock with 50 million shares (\$5B market cap). Size is about total value, not per-share cost.
- **OPEC+ controls oil supply:** By setting production quotas, they influence global prices. When they cut output, prices rise — even if demand is flat.
- **AI inference is becoming disaggregated:** Instead of running full models, systems use smaller “expert” modules for specific tasks, saving cost and power.
- **Sandbox escapes are a real risk:** When AI models break out of testing environments, they can interact with real systems — a major security concern.

- **Model routing saves money:** Sending easy queries to small models and hard ones to big ones can cut inference costs by 50%+.

- **Chokepoints are strategic:** Control of narrow waterways (Hormuz, Suez, Panama) gives countries outsized influence over global trade.

9. Foundations & Terms

Concept Spotlight: Market Capitalisation

- **What it is:** The total market value of a company's outstanding shares. Calculated as **share price × number of shares outstanding**.
- **Why it exists:** To measure a company's size, not just its stock price. A high share price doesn't mean a big company if there are few shares.
- **Example:** Tesla has a \$500B market cap if its stock is \$250 and it has 2 billion shares. Apple has a \$3T market cap at \$150/share with 20 billion shares — much bigger, despite lower price.
- **In the news:** Nvidia's market cap is ~\$2.2T — one of the largest ever.
- **Benchmarks:** Mega-cap: >\$200B; large-cap: \$10B–\$200B.
- **Caution:** Market cap can be inflated by hype. It's not the same as intrinsic value.

Concept Spotlight: OPEC and OPEC+

- **What it is:** OPEC (Organization of the Petroleum Exporting Countries) is a cartel of oil-producing nations. OPEC+ includes allies like Russia.
- **Why it exists:** To coordinate oil production and stabilize prices. By limiting supply, they can keep prices high.
- **Example:** In 2020, OPEC+ cut production by 9.7 million barrels/day, helping oil rebound from \$20 to \$80.
- **In the news:** Iran's actions affect OPEC+ unity, as it's not fully aligned with Saudi Arabia.

- **Benchmarks:** OPEC+ controls ~40% of global oil supply.
- **Caution:** Members often cheat on quotas, weakening the cartel's power.

- **Chokepoint:** A narrow waterway critical for global trade, like the Strait of Hormuz. If closed, it disrupts shipping and spikes prices.
- **Sovereignty:** A country's right to govern itself without outside interference. India naming places in Arunachal Pradesh is a sovereignty assertion.
- **Proxy (geopolitics):** A weaker state or group used by a stronger power to advance its interests. The Houthis are a proxy for Iran.
- **Shadow fleet:** Tankers that evade sanctions by turning off tracking systems. Used by Iran to export oil.
- **Agentic AI:** AI systems that can act independently, like making decisions or using tools without human input.
- **Sandbox (AI security):** A restricted environment where AI models are tested to prevent them from accessing real systems.
- **Capex:** Capital expenditure — money spent on long-term assets like factories or data centers. TSMC's capex is rising due to AI demand.
- **Open-weights model:** An AI model whose internal parameters are publicly available, allowing inspection and modification.

10. Bottom Line

Today's world is defined by **three escalating tensions**: energy, AI, and sovereignty.

Geopolitically, Iran's closure of the Strait of Hormuz is the dominant story. Combined with Houthi attacks and the Saudi-Turkey-Pakistan pact, the Middle East is in a

state of strategic flux. India's naming of Arunachal Pradesh locations adds to US-China-Taiwan tensions. These are not isolated events — they reflect a world where **chokepoints, sovereignty, and proxy conflicts** are resurging.

Economically, the Fed's hold on rates — with three dissenters — signals inflation remains a threat. Markets are pricing in hikes, not cuts, despite weak jobs data. Energy-driven inflation from the Hormuz closure could force the Fed's hand.

In AI, Moonshot's 2.8T open model is a watershed. It proves China can compete at the frontier, and it will pressure US labs to lower prices. Meanwhile, power

constraints loom — Musk's warning that AI needs more electricity than the grid can supply is not hyperbole.

What changed since yesterday: Iran has hardened its stance on Hormuz. Moonshot's model has been confirmed as the first Chinese model to top a major coding benchmark. The Fed's dissenting votes signal growing hawkishness. Musk's power warning adds urgency to the nuclear-for-AI debate.

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